Uber Technologies, Inc.

Recommendation	**Price**	**12-Mo. Target Price**	**Report Currency**	**Investment Style**
BUY ★★★★☆	USD 65.67 (as of market close May 17, 2024)	USD 81.00	USD	Large-Cap Value

Equity Analyst Shreya Gheewala

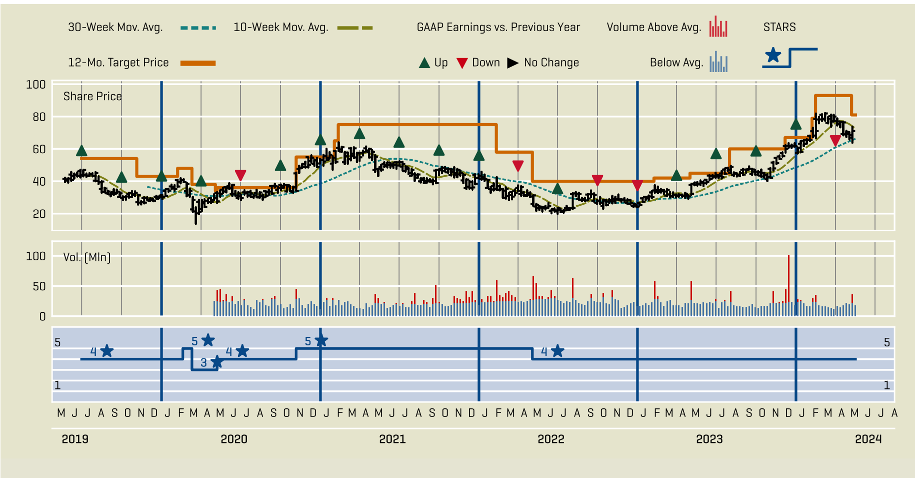
GICS Sector Industrials
Sub-Industry Passenger Ground Transportation

Summary Uber is a developer of applications that enable providers of ridesharing services and Eats meal preparation/delivery services to transact with end-users.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)

52-Wk Range	**USD 82.14 - 37.07**	Oper.EPS2024**E**	**USD 1.00**	Market Capitalization[B]	**USD 138.01**	Beta	**1.39**
Trailing 12-Month EPS	**USD 1.72**	Oper.EPS2025**E**	**USD 2.32**	Yield [%]	**N/A**	3-yr Proj. EPS CAGR[%]	**NM**
Trailing 12-Month P/E	**38.22**	P/E on Oper.EPS2024**E**	**65.67**	Dividend Rate/Share	**N/A**	SPGMI's Quality Ranking	**NR**
USD 10K Invested 5 Yrs Ago	**15,272.0**	Common Shares Outstg.[M]	**2,086.00**	Trailing 12-Month Dividend	**N/A**	Institutional Ownership [%]	**83.0**

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by **Shreya Gheewala** on May 15, 2024 01:09 PM ET, when the stock traded at **USD 66.20**.

Highlights

- We see sales growth in the mid-teens (15%-18%) for both 2024 and 2025 after a 17% rise in 2023. Gross bookings rose 20% in Q1 on growth in Mobility (+26%) and Delivery (+18%), while freight declined 8%. We expect continued booking growth from new verticals, geographic expansion (Spain/Germany), and strong ad traction. We also see a healthy pricing environment and driver supply as active riders should improve through 2025. We like UBER's multi-app platform strategy and greater emphasis on subscriptions. In Delivery, monthly active platform consumers/basket size/order frequency all remain elevated, demonstrating a permanent change in consumer behavior, while UBER expands into new verticals.
- We are impressed by profitability, with UBER's ability to improve margins across both Mobility ($1.5B adjusted EBITDA in Q1; 8% margin) and Delivery ($528M; 3% margin). Given its better supply network, we think UBER can keep costs contained (headcount flat), while benefiting from greater scale as rides/deliveries increase.
- We note $5.7B in cash/equity stakes and $9.6B in long-term debt. We see free cash flow generation of about $5.3B in 2024, and $7B+ in 2025 from scale benefits.

Investment Rationale/Risk

- Our Buy rating reflects our favorable secular views for both the Mobility and Delivery segments, rising addressable market, and belief that the company will be disciplined on costs. We see UBER as a share taker, with Mobility trips increasing 26% in Q1; we also like the emphasis on product innovation (UberX Share and Uber Reserve) and see many levers to pull to control costs. New verticals are accelerating Delivery bookings (+18% growth in Q1). UBER's taxi integration is also going well (goal of having every taxi on UBER by 2025). We believe greater emphasis on subscription offerings (25% of gross bookings) and advertising put it in a good position to see notable FCF growth through 2025 and continued GAAP net income profitability.
- Risks include unexpected changes to the regulatory landscape, slower-than-expected adoption for MaaS, and greater-than-expected competitive pressures.
- Our 12-month target of $81 is based on a P/E of 35x our 2025 EPS estimate of $2.32, reflecting catlysts from geographic expansion, new user segments, and multi-product portfolio positions.

Analyst's Risk Assessment

LOW | MEDIUM | **HIGH**

Our risk assessment primarily reflects the relatively short history of the Mobility as a Service (MaaS) arena, lack of free cash flow generation, and significant liquidity needs as UBER looks to scale its business. This is partly offset by its market share lead position and strong brand in the ridesharing space.

Revenue/Earnings Data

Revenue (Million USD)

	1Q	2Q	3Q	4Q	Year
2025	**E** 11,876	**E** 12,586	**E** 12,905	**E** 13,476	**E** 50,843
2024	10,131	**E** 10,667	**E** 11,003	**E** 11,654	**E** 43,455
2023	8,823	9,230	9,292	9,936	37,281
2022	6,854	8,073	8,343	8,607	31,877
2021	2,903	3,929	4,845	5,778	17,455
2020	3,543	2,241	2,813	3,165	11,139

Earnings Per Share (USD)

	1Q	2Q	3Q	4Q	Year
2025	**E** 0.47	**E** 0.53	**E** 0.63	**E** 0.69	**E** 2.32
2024	0.18	**E** 0.32	**E** 0.43	**E** 0.56	**E** 1.00
2023	0.33	0.34	0.34	0.86	1.82
2022	-0.10	-0.03	-0.21	0.57	-3.32
2021	0.45	-0.17	-0.07	0.64	0.33
2020	-1.40	-0.65	-0.43	-0.40	-2.86

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

No cash dividends have been paid in the last year.

Uber Technologies, Inc.

Business Summary May 15, 2024

CORPORATE OVERVIEW. Uber Technologies, Inc. (UBER) is a developer and supporter of proprietary technology applications that enable independent providers of ridesharing services as well as Eats meal preparation/delivery services to transact with end-users. At the end of 2022, Uber's platform was available to a massive scale of more than 900 cities and 69 countries. UBER generates nearly all of its sales from fees paid by drivers and restaurants for use of its platform. Revenue is net of driver and restaurant earnings and driver incentives.

In the most recently completely third quarter of 2023, UBER generated all of its revenue under the following three categories: Mobility (55% of adjusted net revenue), Delivery (32%), and Freight (13%). The Advanced Technologies Group was sold in the first quarter of 2021.

UBER generates Ridesharing revenue from service and booking fees paid by drivers for the use of its platform to connect with consumers in need of transportation and complete Ridesharing services. The Rides products connect consumers with Drivers who provide rides in a variety of vehicles, such as cars, auto rickshaws, motorbikes, minibuses, or taxis. Rides also include activity related to Uber for Business, Financial Partnerships, and Vehicle Solutions offerings. Uber Eats revenue comes from service fees paid by restaurants and drivers for use of the company's platform to provide a meal or complete a meal delivery. Freight connects carriers with shippers on UBER's platform, and gives carriers upfront, transparent pricing and the ability to book a shipment. Uber Freight was launched in 2017.

IMPACT OF MAJOR DEVELOPMENTS. In November 2021, Uber completed its acquisition of Transplace for $2.2 billion, consisting of $2.25 billion in cash. In October 2021, UBER acquired Drizly, the leading provider of on-demand alcohol delivery in the U.S., for $1.1 billion in stock and cash (over 90% stock). We positively view the deal, as it instills another growth opportunity in the Eats business at a minimal expense. In December 2020, UBER acquired on-demand food delivery competitor Postmates for $2.65 billion in an all-stock transaction. UBER issued 84 million shares (valued at $31.45 per share). We note that Postmates brings 10 million plus active customers, with geographic strength in the Southwest (e.g., Los Angeles, Las Vegas, Orange County, San Diego, Phoenix), and like their subscription based program (Postmates Unlimited represents 30% plus orders) as it provides greater stickiness on the platform.

In July 2020, UBER acquired a 52% stake in CS-Global (Cornershop), a grocery delivery start-up. The initial fair value, as of the acquisition date of July 6, 2020, was $290 million. Cornershop is active in Chile, Mexico, Peru, and Canada, and Uber plans to add other markets.

LEGAL/REGULATORY ISSUES. The biggest risk for ridesharing/food delivery platform providers is regulatory in nature. Any major unforeseen change to the regulatory environment, specifically in the U.S., could have severe negative consequences on the sustainability of their business models.

In late August 2021, the California courts invalidated Proposition 22, calling the voter-approved law unconstitutional and unenforceable. This is a retaliation to the November 2020 election outlook where the gig economy scored a big win when California residents voted in favor of Proposition 22, which allows UBER and LYFT, among others, to exempt themselves from reclassifying drivers as employees. While the court ruling was unexpected by many and won't change how the companies treat their drivers in the intermediate term, it does increase risks that the gig economy model could be at risk in California. In addition, other states (e.g., Massachusetts) are looking to upend the business model of the ridesharing/food delivery space and a negative outcome in one state could have a trickle-down effect on others.

The attention of the gig economy is also catching the attention of the Biden administration. In April 2021, U.S. Labor Secretary Marty Walsh made a comment saying gig workers should be classified as employees. We are not surprised by the comments as members of the Biden administration have previously been in favor of such a measure. While an important topic, we believe the administration has more critical topics to contend with now, putting this issue on the back burner.

Although a change in classification in a key state like California/New York or on a national level would hurt business models of ride-hailing/delivery apps, we think many drivers in the U.S. prefer being treated as contractors given the flexibility/ability to work on several different competing platforms. Ultimately, we see the industry gravitating towards a new third model that would make sense for all parties (app-based platform providers, drivers, and politicians).

FINANCIAL TRENDS. We forecast ridesharing services, currently in early phases, will witness significant growth potential over the next 20-30 years. The ride-hailing space has been among the fastest-growing mobility services over the last decade, creating a new mode of transportation (defined as Mobility-as-a-Service or MaaS), disrupting the taxi and rental car industries. The key factors that will likely drive the growth of the global ridesharing service industry include a growing population, lower rate of car ownership among millennials, the rising trend of on-demand transportation services, and a growing supply of drivers.

Monthly active platform users grew 15% in the fourth quarter to 150 million, while total trips rose 24% (2.6 billion). We have been impressed by performance within UBER's Delivery business, which generated adjusted EBITDA profitability of $551 million in 2022 compared to a loss in 2021, as UBER benefits from greater operational efficiencies, advertising revenue, and scale. We see greater consumer adoption for Mobility as a Service and expect UBER to be among the earliest adopters of autonomous technology. We like UBER's scale/market share lead position and greater geographic reach versus peers, but we note regulatory uncertainty.

On May 14, 2019, UBER closed its IPO at a price of $45 per share and received net proceeds of approximately $8.0 billion.

Corporate information

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Officers

Independent Chairman
R. D. Sugar

Chief Financial Officer
P. Mahendra-Rajah

Senior VP, Chief Legal Officer & Corporate Secretary
D. A. West

Chief Product Officer & Senior VP of Engineering
S. Jain

Chief Accounting Officer & Global Corporate Controller
G. Ceremony

CEO & Director
D. Khosrowshahi

Board Members

A. R. Wynaendts	R. A. Eckert
A. W. Ginsberg	R. Advaithi
D. I. Trujillo	R. D. Sugar
D. Khosrowshahi	T. A. Alnowaiser
G. Camp	U. M. Burns
J. A. Thain	W. L. Martello

Domicile
Delaware

Auditor
PricewaterhouseCoopers LLP

Founded
2009

Employees
30,700

Stockholders
1,366

Uber Technologies, Inc.

Quantitative Evaluations

Fair Value Rank		1 2 3 4 5 (LOWEST – HIGHEST); rank: 1. Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued (1) to most undervalued (5).
Fair Value Calculation	**USD 46.49**	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that UBER is overvalued by USD 19.18 or 29.21%
Volatility		LOW / AVERAGE / HIGH; rating: AVERAGE
Technical Evaluation	**NEUTRAL**	Since August, 2023, the technical indicators for UBER have been NEUTRAL"
Insider Activity		UNFAVORABLE / NEUTRAL / FAVORABLE; rating: NEUTRAL

Expanded Ratio Analysis

	2023	2022	2021	2020
Price/Sales	3.45	1.53	4.55	8.03
Price/EBITDA	66.63	NM	NM	NM
Price/Pretax Income	54.37	NM	NM	NM
P/E Ratio	33.79	NM	NM	NM
Avg. Diluted Shares Outstg. (M)	2,091.78	1,974.93	1,895.52	1,752.96

Figures based on fiscal year-end price

Key Growth Rates and Averages

Past Growth Rate (%)	1 Year	3 Years	5 Years
Net Income	NM	NM	13.61
Sales	16.95	49.58	29.01
Ratio Analysis (Annual Avg.)			
Net Margin (%)	5.06	NM	NM
% LT Debt to Capitalization	38.59	39.61	35.04
Return on Equity (%)	20.35	-20.06	-36.91

Company Financials Fiscal year ending Dec 31

Per Share Data (USD)	2023	2022	2021	2020	2019	2018	2017	2016
Tangible Book Value	0.81	-1.39	1.86	2.48	8.13	-16.67	-19.51	-10.30
Free Cash Flow	1.65	0.20	-0.39	-1.92	-3.93	-4.73	-5.27	-11.05
Earnings	0.87	-4.65	-0.28	-3.86	-6.81	N/A	-9.46	-7.89
Earnings (Normalized)	1.82	-3.32	0.33	-2.86	-2.49	3.31	N/A	N/A
Dividends	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Payout Ratio (%)	NM	NM	NM	NM	NM	NM	NM	NM
Prices: High	63.53	45.90	64.05	56.02	47.08	N/A	N/A	N/A
Prices: Low	25.02	19.90	34.88	13.71	25.58	N/A	N/A	N/A
P/E Ratio: High	34.90	NM	NM	NM	NM	NM	NM	NM
P/E Ratio: Low	13.70	NM	NM	NM	NM	NM	NM	NM
Income Statement Analysis (Million USD)								
Revenue	37,281	31,877	17,455	11,139	13,000	10,433	7,932	3,845
Operating Income	1,110	-1,832	-3,834	-4,501	-8,596	-2,836	-3,857	-3,023
Depreciation + Amortization	823.00	947.00	902.00	575.00	450.00	414.00	496.00	308.00
Interest Expense	633.00	565.00	483.00	458.00	559.00	648.00	479.00	334.00
Pretax Income	2,369	-9,319	-1,062	-6,980	-8,467	1,270	-4,575	-3,218
Effective Tax Rate	9.00	1.90	46.30	2.80	-0.50	22.30	11.80	-0.90
Net Income	1,887	NM	NM	NM	NM	997.00	NM	NM
Net Income (Normalized)	NM	NM	NM	NM	NM	NM	NM	NM
Balance Sheet and Other Financial Data (Million USD)								
Cash	5,407	4,311	4,295	6,827	11,313	6,406	4,393	6,296
Current Assets	11,297	9,249	8,819	9,882	13,925	8,658	6,837	7,014
Total Assets	38,699	32,109	38,774	33,252	31,761	23,988	15,426	15,713
Current Liabilities	9,454	8,853	9,024	6,865	5,639	4,259	3,847	2,425
Long Term Debt	9,459	9,265	9,276	7,560	5,707	7,305	3,338	3,112
Total Capital	24,512	20,221	26,953	24,008	22,944	14,234	7,141	9,853
Capital Expenditures	223.00	252.00	298.00	616.00	588.00	558.00	821.00	1,629
Cash from Operations	3,585	642.00	-445.00	-2,745	-4,321	-1,541	-1,418	-2,913
Current Ratio	1.19	1.04	0.98	1.44	2.47	2.03	1.78	2.89
% Long Term Debt of Capitalization	38.60	45.80	34.40	31.50	24.90	51.30	46.70	31.60
% Net Income of Revenue	5.10	-28.70	-2.80	-60.80	-65.40	9.60	-50.80	-9.60
% Return on Assets	1.96	-3.23	-6.65	-8.65	-19.27	-8.99	-15.48	NM
% Return on Equity	20.40	-76.60	-3.90	-46.90	-77.50	18.90	-77.70	NM

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Uber Technologies, Inc.

Sector Outlook

CFRA recommends marketweighting the S&P 500 Industrials sector. Year-to-date through March 31, 2024, the S&P 500 Industrials Index, which represented 8.8% of the S&P 500 Index, rose 10.6% in price compared with the 10.2% gain for the S&P 500. In 2023, this sector increased 16.0% versus a 24.2% advance for the S&P 500. There are 18 sub-industry indices in this sector. Aerospace & defense is the largest, representing 16.95% of the sector's market value, while data processing & outsourced services is the smallest, accounting for 0.97% of the sector. This sector can be represented by the Industrial Select Sector SPDRETF (XLI 125 ***).

The cap-weighted average of this sector's component company CFRA STARS (STock Appreciation Ranking System) is 3.2 out of 5.0, as compared to a cap-weighted average of 3.7 for the S&P 500. In addition, the sector has a below-average percentage of component issues with favorable investment recommendations. The sub-industries within this sector that currently show the highest average STARS are data processing & outsourced services, electrical components & equipment, environmental facilities & services, passenger airlines, passenger ground transportation, and research & consulting services. Those with the lowest average STARS include aerospace & defense, air freight, diversified support services, rail transportation, and trading companies & distributors.

According to S&P Capital IQ consensus estimates, sector EPS rose 10.4% in 2023 versus the 0.5% gain seen for the S&P 500, while sector revenues decreased 0.6% versus the 0.9% advance for the market. For 2024, sector EPS should rise 5.5% compared to the S&P 500's 9.0% increase, with sector revenues rising 4.6% compared to the market's gain of 4.4%. For 2025, sector EPS should rise 14.7% compared to the S&P 500's 13.7% increase, with sector revenues rising 5.6% compared to the market's gain of 5.8%. The sector's price-to-earnings (P/E) ratio is 22.3x, based on consensus next-12-month operating EPS estimates, versus the S&P 500's forward P/E of 21.8x. S&P Capital IQ also reports that the consensus long-term EPS growth estimate for this sector is 13.9% versus the S&P 500's 14.1%, giving the sector a P/E-to-projected EPS growth rate (PEG) ratio of 1.6x, as compared with the broader market's PEG of 1.5x. This sector pays a dividend yield of 1.5% versus the yield of 1.4% for the S&P 500.

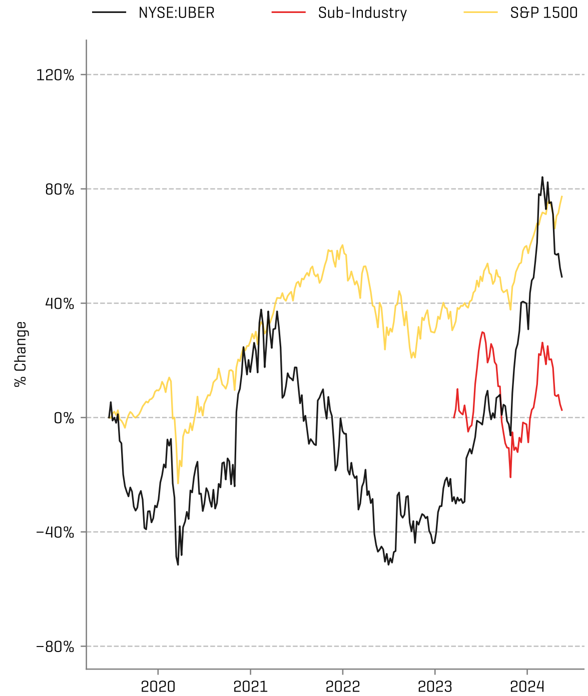
Finally, the technical outlook for this sector index is neutral, based on its trailing 40-week (200-day) relative strength.

/ Sam Stovall

Industry Performance

GICS Sector: **Industrials**
Sub-Industry: **Passenger Ground Transportation**

Based on S&P 1500 Indexes
Five-Year market price performance through May 18, 2024



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.

All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).

Past performance is not an indication of future performance and should not be relied upon as such.

Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Passenger Ground Transportation **Peer Group*: Passenger Ground Transportation**

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. (M)	30-Day Price Chg. (%)	1-Year Price Chg. (%)	P/E Ratio	Fair Value Calc.	Yield (%)	Return on Equity (%)	LTD to Cap (%)
Uber Technologies, Inc.	**UBER**	**NYSE**	**USD**	**66.05**	**138,013.0**	**-10.9**	**74.6**	**38.0**	**46.49**	**N/A**	**15.6**	**39.7**
Avis Budget Group, Inc.	CAR	NasdaqGS	USD	121.82	4,343.0	12.3	-25.3	4.0	N/A	N/A	-255.0	18.7
Getaround, Inc.	GETR	NYSE	USD	0.21	20.0	-10.9	-63.6	NM	N/A	N/A	-1007.3	109.2
Grab Holdings Limited	GRAB	NasdaqGS	USD	3.65	14,428.0	11.6	13.4	NM	N/A	N/A	-5.4	3.1
Hertz Global Holdings, Inc.	HTZ	NasdaqGS	USD	5.52	1,688.0	-16.0	-66.2	26.0	N/A	N/A	8.4	18.9
Lyft, Inc.	LYFT	NasdaqGS	USD	16.95	6,839.0	-7.2	102.8	24.0	N/A	N/A	-42.2	54.8
Swvl Holdings Corp.	SWVL	NasdaqCM	USD	9.15	62.0	9.8	603.8	N/A	N/A	N/A	96.3	N/A
Zoomcar Holdings, Inc.	ZCAR	NasdaqGM	USD	0.26	17.0	-18.5	-97.6	NM	N/A	N/A	233.0	-557.9

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA-Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Uber Technologies, Inc.

Analyst Research Notes and other Company News

May 08, 2024
11:55 AM ET... CFRA Maintains Buy Opinion on Shares of Uber Technologies, Inc. (UBER 64.61****):
We cut our 12-month target to $81 from $93 on a P/E of 35x our 2025 EPS (18x our 2025 FCF). We cut our 2024 EPS to $1.00 from $2.22 and 2025's to $2.32 from $3.63. Gross bookings grew 20%, led by strong growth in Mobility (+26%) and Delivery (+18%). Trips grew 21%, driven by a 15% rise in MAPC and a 6% uptick in frequency (trips/MAPC). Despite top-line strength, net loss widened to $654M (LPS of $0.31 vs. $0.08) due to a $72M unrealized loss from equity investment reevaluation. Yet, UBER demonstrated operating leverage, with 82% growth in adj-EBITDA to $1.4B and $4.2B trailing-12-month FCF generation. Key growth drivers include UberOne's 45% penetration of delivery of gross bookings, new affordable offerings like Moto and Xshare for volume, and grocery growth. We also like Instacart's partnership expanding consumer reach, complementing geographic expansion and multi-product portfolio. UBER's geographic expansion, new user segments, and multi-product portfolio position it well to drive growth and profitability. / Shreya Gheewala

February 15, 2024
12:29 PM ET... CFRA Maintains Buy Opinion on Shares of Uber Technologies, Inc. (UBER 78.57****):
We lift our 12-month target $14 to $93 on a P/E of 25.5x our 2025 EPS view of $3.63 (up $1.01; 18x our 2025 FCF view, with 2024's EPS to $2.22 from $1.95). UBER hosted its investor day, announcing a $7B share buyback program, indicating confidence in growth prospects. Management expects gross booking three-year CAGR of mid-high teens, driven by MAPCs and trips per user. Adj. EBITDA is projected to grow 30%-40% CAGR, with FCF as a percent of adj. EBITDA exceeding 90%. We are encouraged by UBER's cross-selling opportunities, with one-third of consumers using both Mobility (+29% in Q4) and Delivery (+19% in Q4). We think UberOne's 45% delivery gross bookings penetration and new low-cost offerings like Moto and Xshare can drive volume, balanced by premium Reserve and business travel options. Uber's geographic expansion, new user segments, and multi-product portfolio position it well to drive growth and profitability. Key metrics and guidance indicate significant progress on profitability. We like UBER's outlook. / Shreya Gheewala

February 07, 2024
08:48 AM ET... CFRA Maintains Buy Opinion on Shares of Uber Technologies, Inc. (UBER 69.40****):
We lift our 12-month target price to $79 from $67 based on a P/E of 30x our 2025 EPS estimate (20x our 2025 FCF view). We raise our 2024 EPS view to $1.95 from $1.79 and 2025's to $2.62 from $2.57. Gross bookings increased 22%, led by strong growth in Mobility (+29%) and Delivery (+19%). However, freight bookings declined 17%. The number of trips grew 24%, driven by robust holiday travel demand and expansion in non-UberX services (+80%). Supply trends continue improving, with active drivers up 30% and higher driver engagement (+10%). We expect booking growth from new verticals, geographic expansion (Spain/Germany), and strong ad traction. Rising profitability is encouraging, with adjusted EBITDA margin expanding 130bps to 3.4%, especially in Delivery from network efficiencies, higher advertising revenue, and optimized incentives and marketing. With strong driver supply and advertising momentum, we see opportunity for UBER to deliver another year of +7.5% incremental margin improvement. / Shreya Gheewala

December 07, 2023
09:34 AM ET... CFRA Maintains Buy Opinion on Shares of Uber Technologies, Inc. (UBER 59.64****):
We lift our 12-month target price $7 to $67 on a P/E of 26x our 2025 EPS estimate of $2.57 (up $0.22; 19.7x our 2025 FCF view). We keep our 2023 EPS view at $1.39 and 2024's at $1.79. Uber is set to join the S&P 500 index later this month after delivering its fourth straight profitable quarter in Q3, with gross bookings up 21% and trips increasing 29%. UBER's delivery business is benefiting from continued growth in online orders (+18% in Q3) and better retention and expansion into new verticals. We are encouraged by UBER's rising profitability (12% adj. EBITDA margin vs. 6% last year), especially in delivery (14% adj. EBITDA margin vs. 7% last year) as margins have expanded through network efficiencies, more ad revenue, and optimized marketing (S&M down 19% Y/Y). Positive developments also include steady growth for Uber One memberships, now at 15M members across 18 markets, and increasing high-margin ad revenue, which helped push delivery's adj. EBITDA margin to 2.6% of gross bookings, up from 1.3% last year. / Shreya Gheewala

November 07, 2023
08:39 AM ET... CFRA Maintains Buy Opinion on Shares of Uber Technologies, Inc. (UBER 48.14****):
We maintain our 12-month target price at $60 on P/E of 25.5x our '25 EPS estimate of $2.35 (17.5x our '25 FCF view). We raise our '23 EPS view to $1.39 from $1.10 and hold '24 at $1.79. Gross bookings rose 21% on growth in Mobility (+31%) and Delivery (+18%) while Freight declined 27%. Mobility saw higher trips (+29%), driven by strong summer travel/back-to-school and greater consumer engagement, while growth in active drivers (+32%) is improving UBER's competitive position/lessening dependence on incentives. We see growth in underpenetrated markets (e.g., Spain, Germany) while lower pricing/fares will further drive trip growth. We like accelerating Delivery trip growth, being led by improving retention and growth in new verticals (+46%). We are encouraged by rising profitability (adj. EBITDA of 12% vs. 6%), specifically on the Delivery side (adj. EBITDA of 14% vs. 7%) as margins expand from network efficiencies, higher advertising revenue, and marketing/incentive optimization (sales & marketing -19% Y/Y). / Angelo Zino, CFA

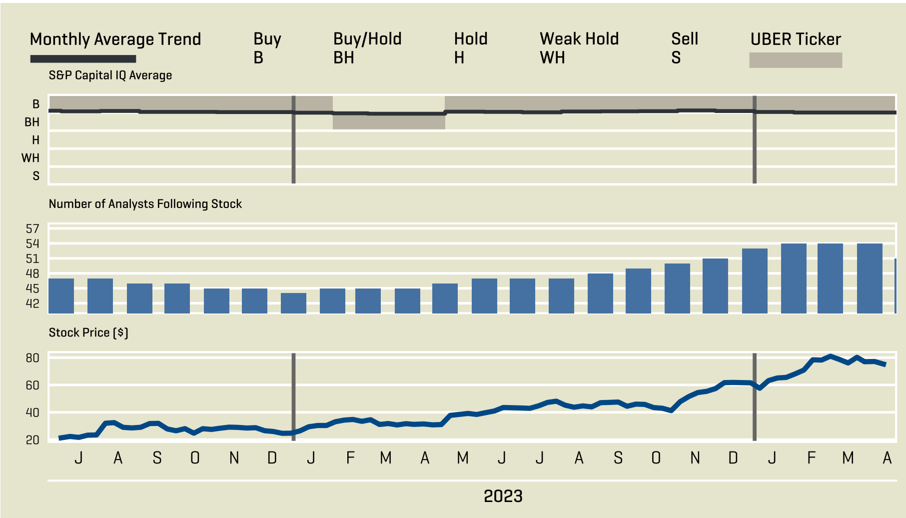
August 01, 2023
09:22 AM ET... CFRA Maintains Buy Opinion on Shares of Uber Technologies, Inc. (UBER 49.46****):
We boost our 12-month target to $60 from $45 on a revised P/E of 25.5x our '25 EPS estimate (raised to $2.35 from $2.25). We keep our '23 EPS view at $1.10 and adjust '24's to $1.79 from $1.72. Gross bookings rose 16% (+18% ex-forex) on growth in Mobility (+25%) and Delivery (+12%) while Freight declined 30%. Growth in trips (+22%) and new offerings are supporting Mobility bookings growth while new verticals accelerate Delivery bookings (10% of segment bookings). We are impressed by improving profitability, with adjusted EBITDA of $916M (above the $844M consensus), as Mobility benefits from better cost leverage/higher volume and Delivery generates higher advertising revenue ($650M annualized run rate). This is translating to higher FCF ($1.1B in Q2 vs. $382M) given UBER's highly scalable model, which we see at +$4.5B in '24 and +$6.5B in '25. We positively view UBER's recent agreement with Dominos and expanded Waymo partnership (Waymo vehicles to support both ride-hailing trips/deliveries starting in Phoenix). / Angelo Zino, CFA

May 02, 2023
09:33 AM ET... CFRA Maintains Buy Opinion on Shares of Uber Technologies, Inc. (UBER 32.74****):
We raise our 12-month target to $45 from $42, shifting to a P/E of 20x our '25 EPS estimate, which we start at $2.25. We raise our '23 EPS view to $1.10 from $0.78 and '24 to $1.72 from $1.36. UBER posted Q1 adjusted EBITDA of $761M vs. $168M, beating the $677M consensus. Gross bookings rose 19% (+22% ex-forex) on growth in Mobility (+40%) and Delivery (+8%), while Freight declined 23%. Mobility trips grew an impressive 32% (accelerating from +24% in Q4), with new riders spending and engaging more. New offerings are gaining traction (UberX Share, Uber Reserve), with driver earnings +40% vs. '19, healthy churn, taxi integration going well (every taxi on UBER by '25 goal), and 70% growth in ad base. Delivery is extremely sticky, while new verticals grew ~35% on improving profitability. We see 15%-20% bookings growth coupled with tight cost controls (headcount flat to down in 2H) driving GAAP income/FCF ($549M vs. $47M loss). We see FCF of +$4.5B in '24 and +$6.0B in '25 (sets up potential for buybacks). / Angelo Zino, CFA

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

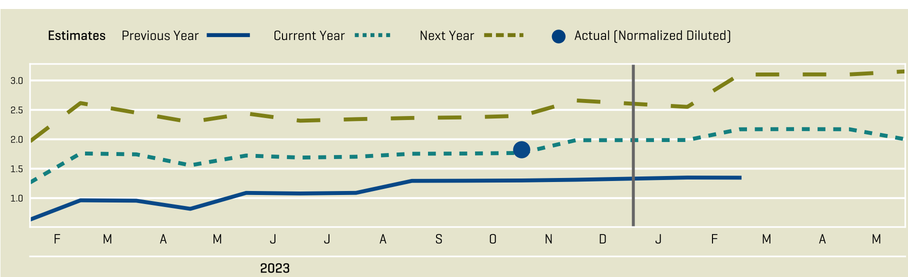
Uber Technologies, Inc.

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	31	61	31	31
Buy/Hold	13	25	15	15
Hold	4	8	5	5
Weak hold	0	0	0	0
Sell	0	0	0	0
No Opinion	3	6	3	3
Total	51	100	54	54

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2025	3.15	3.58	2.37	8	20.94
2024	2.00	2.42	1.56	8	33.03
2025 vs. 2024	**▲ 58%**	**▲ 48%**	**▲ 52%**	**N/A%**	**▼ -37%**
Q2'25	0.77	0.83	0.70	3	86.06
Q2'24	0.53	0.57	0.50	7	124.22
Q2'25 vs. Q2'24	**▲ 44%**	**▲ 46%**	**▲ 40%**	**▼ -57%**	**▼ -31%**

Forecasts are not reliable indicator of future performance.

Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.

Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Wall Street Consensus Opinion

Buy

Wall Street Consensus vs. Performance

For fiscal year 2024, analysts estimate that UBER will earn USD 2.00. For fiscal year 2025, analysts estimate that UBER's earnings per share will grow by 57.73% to USD 3.15.

Uber Technologies, Inc.

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs (American Depositary Receipts), and ADSs (American Depositary Shares) based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS (Stock Appreciation Ranking System), equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark (e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

(also known as **S&P Capital IQ Earnings & Dividend Rankings**) - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsulize the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+	Highest	B	Below Average
A	High	B-	Lower
A	Above	C	Lowest
B+	Average	D	In Reorganization
NC	Not Ranked		

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus (average) EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics.

Abbreviations Used in Equity Research Reports

CAGR - Compound Annual Growth Rate
CAPEX - Capital Expenditures
CY - Calendar Year
DCF - Discounted Cash Flow
DDM - Dividend Discount Model
EBIT - Earnings Before Interest and Taxes
EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
EPS - Earnings Per Share
EV - Enterprise Value
FCF - Free Cash Flow
FFO - Funds From Operations
FY - Fiscal Year
P/E - Price/Earnings
P/NAV - Price to Net Asset Value
PEG Ratio - P/E-to-Growth Ratio
PV - Present Value
R&D - Research & Development
ROCE - Return on Capital Employed
ROE Return on Equity
ROI - Return on Investment
ROIC - Return on Invested Capital
ROA - Return on Assets
SG&A - Selling, General & Administrative Expenses
SOTP - Sum-of-The-Parts
WACC - Weighted Average Cost of Capital

Dividends on American Depository Receipts (ADRs) and American Depository Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ **5-STARS (Strong Buy):**
Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★☆ **4-STARS (Buy):**
Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★☆☆ **3-STARS (Hold):**
Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★☆☆☆ **2-STARS (Sell):**
Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★☆☆☆☆ **1-STAR (Strong Sell):**
Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:
In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.

Uber Technologies, Inc.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five (six) model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section seof the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of March 31, 2024

Ranking	North America	Europe	Asia	Global
Buy	37.6%	34.7%	44.1%	38.5%
Hold	52.6%	52.5%	50.6%	52.1%
Sell	9.7%	12.8%	5.4%	9.4%
Total	100.0%	100.0%	100.0%	100.0%

Analyst Certification:

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Uber Technologies, Inc.

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